

# THE BATTLE FOR WARNER BROTHERS DISCOVERY

## *A Valuation Analysis*

Can Netflix or Paramount Justify Their Bids?

Netflix Offer: **\$82.7B • \$27.75/share**

Paramount Offer: **\$108B • \$31.00/share (All-Cash)**



**NETFLIX**



# Executive Summary

*Key findings at a glance — for institutional investors holding WBD, NFLX, and PARA positions*

## THE SITUATION

WBD entered formal auction Oct 2025. Netflix: \$82.7B for HBO + studio. Paramount escalated to \$31/share all-cash — flagged as potentially superior.

## VALUATION FINDING

Comps (8–10× EV/EBITDA) imply fair value \$76–95B. Netflix bid is within range. Paramount's \$108B bid exceeds intrinsic value estimates.

## ✓ NETFLIX — VIABLE

Strong FCF (~\$7.5B/yr), IG credit, and smart asset structure (no cable) make this financeable. Synergies are quantifiable.

## ✗ PARAMOUNT — HIGH RISK

Combined pro-forma debt (~\$54B) likely breaches investment-grade thresholds. SWF reliance adds geopolitical and execution risk.

**\$76–95B**

WBD Implied Fair Value

**\$82.7B**

Netflix Bid

**\$108B**

Paramount Bid

**~\$40B**

WBD Net Debt

**~\$7.5B**

NFLX Annual FCF

# Presentation Agenda

*Six-part financial analysis framework*

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## The Target

Warner Bros. Discovery — asset overview, divisions & deal structure

**02**

## The Bidders

Netflix vs Paramount — strategic rationale & offer terms

**03**

## Valuation Methods

DCF, Comparable Companies, Precedent Transactions — pros & cons

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## Financial Summaries

Revenue, EBITDA, leverage & capacity analysis for both acquirers

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## Financing Options

Debt, equity, sovereign wealth — costs & ownership implications

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## Recommendation

Viability verdict: can either bid be completed without destroying value?

# The Target: Warner Bros. Discovery

*Formed in 2022 via WarnerMedia / Discovery merger — now in play at up to \$31/share*



## Studios & Streaming

- ▶ Warner Bros. Film & TV Studios
- ▶ HBO & HBO Max (prestige streaming)
- ▶ Iconic IP: Game of Thrones, Succession, The White Lotus

## Networks (Cable)

- ▶ CNN, TBS, TNT
- ▶ Turner Classic Movies
- ▶ Revenue from ads & affiliate fees
- ▶ Declining due to cord-cutting

## Discovery Global (Spin-Off)

- ▶ HGTV, Food Network, TLC
- ▶ Discovery Channel & others
- ▶ Non-fiction / lifestyle content
- ▶ Board planned pre-bid spin-off

*Jun 2025 Spin-off announced → Sep 2025 Paramount hostile bid → Oct 2025 Formal auction → Dec 2025 Netflix deal selected → Feb 2026 Paramount raises to \$31/share*

# Bidder Profiles: Netflix & Paramount (Skydance)

*Business models, financial health & key valuation factors — context for ability to pay*

# NETFLIX



## NETFLIX (NFLX)

|                          |                                                                                              |
|--------------------------|----------------------------------------------------------------------------------------------|
| <b>Business Model</b>    | Subscription streaming; ~\$15–17/mo avg. revenue per member; ad-supported tier launched 2023 |
| <b>Scale</b>             | 302M paid subscribers in 190+ countries                                                      |
| <b>Content Economics</b> | ~\$17B annual content spend; WBD adds ~\$4–6B in high-quality originals                      |
| <b>Credit Profile</b>    | Investment-grade (Baa3/BBB-); ~\$15B LTD; leverage ~2.0× EBITDA pre-deal                     |
| <b>Growth Trajectory</b> | FCF positive since 2022; operating margin 22%+; subscriber growth re-accelerating            |
| <b>Valuation Factors</b> | P/E ~40×; EV/EBITDA ~30× — strong equity currency, low dilution cost                         |

## PARAMOUNT / SKYDANCE (PARA)

|                          |                                                                                                    |
|--------------------------|----------------------------------------------------------------------------------------------------|
| <b>Business Model</b>    | Paramount+ streaming, CBS broadcast, cable networks, film studio; Skydance adds content production |
| <b>Scale</b>             | ~\$29B revenue; Paramount+ ~70M subs — loss-making; CBS #1 broadcast                               |
| <b>Content Economics</b> | ~\$14B content spend; studio profitability franchise-dependent; streaming not yet profitable       |
| <b>Credit Profile</b>    | Sub-investment-grade (Ba1/BB+); ~\$14B LTD; leverage ~6.4× EBITDA                                  |
| <b>Growth Trajectory</b> | FCF negative; broadcast declining; cost cuts underway                                              |
| <b>Valuation Factors</b> | EV/EBITDA ~7×; market cap \$8–9B — equity issuance highly dilutive; limited M&A capacity           |

# The Bidders: Netflix vs. Paramount (Skydance)

*Competing strategic visions for the same asset*



## NETFLIX

|                         |                             |
|-------------------------|-----------------------------|
| <b>Offer Value:</b>     | \$82.7 Billion              |
| <b>Price/Share:</b>     | \$27.75 (agreed)            |
| <b>Assets Acquired:</b> | HBO, Studio, Burbank lot    |
| <b>Excludes:</b>        | Basic cable (spun off)      |
| <b>Subscribers:</b>     | 300M+ globally              |
| <b>Strategic Goal:</b>  | Studio capacity + HBO brand |

VS

## PARAMOUNT (SKYDANCE)

|                         |                           |
|-------------------------|---------------------------|
| <b>Offer Value:</b>     | \$108 Billion             |
| <b>Price/Share:</b>     | \$31.00 (all-cash)        |
| <b>Assets Acquired:</b> | Entire company            |
| <b>Financing:</b>       | Ellison + SWFs + RedBird  |
| <b>Structure:</b>       | Hostile bid / unsolicited |
| <b>Strategic Goal:</b>  | Full media empire build   |

# Corporate Valuation Methods

Three primary frameworks applied to WBD — each with distinct strengths and limitations

## Discounted Cash Flow (DCF)

*Best for: private companies, synergy-adjusted bids, long-horizon assets with projectable cash flows*

### ✓ Advantages

- + Intrinsic, forward-looking value
- + Captures synergy value explicitly
- + Not market-sentiment dependent

### ✗ Limitations

- Highly sensitive to WACC & terminal growth
- WBD cash flows difficult to forecast
- Subjective terminal value assumptions

## Comparable Companies

*Best for: publicly traded peers with similar business mix; sets market-anchored floor/ceiling*

### ✓ Advantages

- + Market-anchored valuation
- + Simple to compute & communicate
- + Reflects current investor sentiment

### ✗ Limitations

- No pure-play WBD comps exist
- Distorted by cord-cutting discounts
- Ignores acquirer-specific synergies

## Precedent Transactions

*Best for: M&A pricing; captures control premium paid; benchmark for negotiated deal terms*

### ✓ Advantages

- + Includes control / takeover premium
- + Real negotiated transaction data
- + Strongest M&A pricing benchmark

### ✗ Limitations

- Media M&A precedents are dated
- Market conditions have shifted dramatically
- Deal structures vary widely

# WBD: Financial Profile & Implied Valuation

Key metrics informing fair value — and the gap vs. bid prices

**~\$41B**

Annual Revenue  
(TTM Est.)

**~\$9.5B**

Adjusted EBITDA  
(TTM Est.)

**~\$40B**

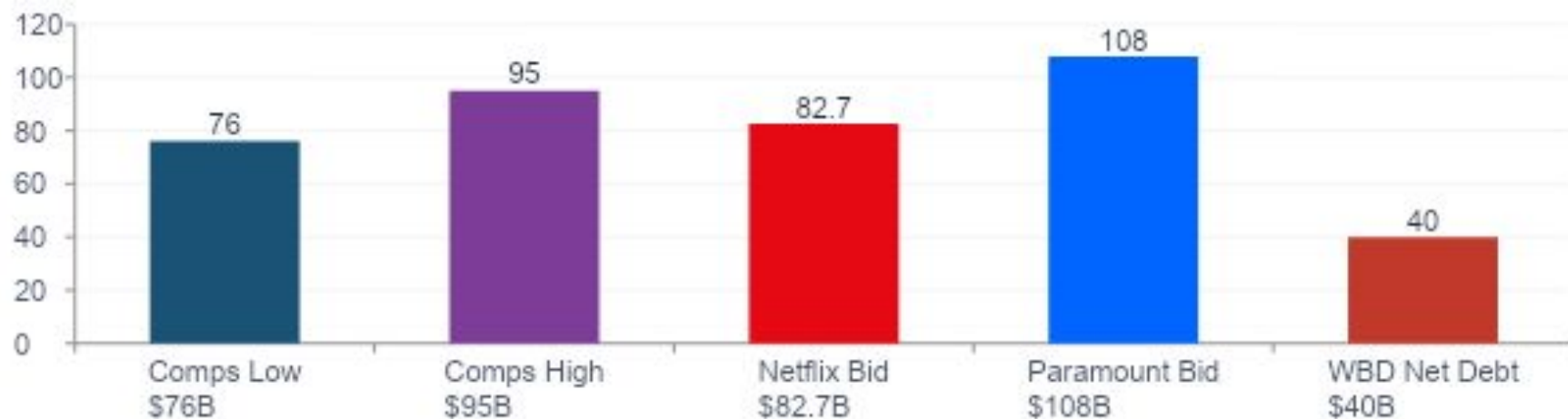
Net Debt  
(Post-Merger)

**8–10×**

EV/EBITDA  
Comps Range

**\$76–95B**

Implied EV  
(Comps-Based)



# Netflix: Financial Capacity Analysis

# NETFLIX

*Evaluating whether NFLX can responsibly close at \$82.7B without destroying shareholder value*

~\$39B

Annual Revenue (2024E)

~\$15B

Existing Long-Term Debt

~\$7.5B

Free Cash Flow (2024E)

~\$7B

Cash & Equivalents

~300M

Paid Subscribers

\$330B+

Market Capitalization

## Capacity Assessment

### Deal Size vs. Market Cap:

~25% of market cap — manageable

### Debt Headroom:

FCF supports ~\$50–60B incremental debt at IG

### Equity Issuance:

~8–10% dilution raises ~\$25B+ at current price

### Structure Advantage:

Cable exclusion reduces inherited debt

### Synergy Case:

HBO library reduces content cost per subscriber

### Key Risk:

Above DCF base; integration complexity; regulatory scrutiny

**VERDICT: Viable — equity + debt mix; FCF supports debt service**

# Paramount (Skydance): Financial Capacity Analysis

Evaluating the \$108B all-cash hostile bid — financing sources & credit risk



~\$29B

Paramount Revenue (2024E)

~\$3B

Cash on Hand (Est.)

~\$2.2B

Adjusted EBITDA (2024E)

\$108B

Total Bid (All-Cash)

~\$14B

Paramount Existing Debt

3 SWFs

Sovereign Wealth Backers

## Capacity Assessment

### Financing Gap:

\$108B bid vs. ~\$3B cash — ~\$105B financing gap

### Ellison Guarantee:

Ellison's net worth is largely illiquid Oracle equity

### SWF Reliance:

PIF, QIA, L'imad — political exposure; approval uncertainty

### Combined Leverage:

Combined debt ~\$54B; likely >10× EBITDA — junk-rated

### No Synergy Offset:

WBD \$40B + PARA \$14B = \$54B combined debt

### Key Risk:

Forced asset sales likely; execution risk very high

**VERDICT: High Risk — unsustainable leverage, SWF dependency**

# Financing Options & Trade-Offs

*Potential funding mechanisms — costs, dilution & ownership implications for each acquirer*

| Mechanism                                                                                                      | Netflix (\$82.7B)                                            | Paramount (\$108B)                                             | Risk Level |
|----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|----------------------------------------------------------------|------------|
|  <b>Investment-Grade Debt</b>  | Feasible — strong FCF + IG rating; ~\$40–50B at 5–6%         | Limited — may lose IG rating post-close                        | Medium     |
|  <b>Equity Issuance</b>        | ~8–10% dilution raises \$25–30B; high multiple limits impact | Highly dilutive; small market cap; Ellison stake at risk       | Low–Med    |
|  <b>Sovereign Wealth Funds</b> | Peripheral — possible minority co-investment                 | Core to bid — PIF, QIA, L'imad; geopolitical + regulatory risk | High       |
|  <b>Asset Divestitures</b>     | Cable spin-off built in — reduces effective purchase price   | Must sell major assets post-close to deleverage                | Medium     |

# DCF Model: Assumptions & Projections

WBD (HBO + Studio assets only) — 5-year free cash flow forecast with WACC-based discount rate

| WACC Build                |       | 5-Year FCF Projection (HBO + Studio; \$ Billions) |                              |                      |                        |                     |
|---------------------------|-------|---------------------------------------------------|------------------------------|----------------------|------------------------|---------------------|
|                           |       | 2026E                                             | 2027E                        | 2028E                | 2029E                  | 2030E               |
| Risk-Free Rate (10yr UST) | 4.3%  | Revenue                                           |                              |                      |                        |                     |
| Equity Risk Premium       | 5.5%  | 22.0                                              | 23.4                         | 24.9                 | 26.5                   | 28.1                |
| Beta (vs. S&P Media)      | 1.15  | EBITDA Margin                                     |                              |                      |                        |                     |
| Cost of Equity (CAPM)     | 10.6% | 28%                                               | 30%                          | 31%                  | 32%                    | 33%                 |
| Pre-Tax Cost of Debt      | 6.2%  | EBITDA                                            |                              |                      |                        |                     |
| Tax Rate                  | 25%   | 6.16                                              | 7.02                         | 7.72                 | 8.48                   | 9.27                |
| After-Tax Cost of Debt    | 4.7%  | Less: Capex                                       |                              |                      |                        |                     |
| Target Equity Weight      | 65%   | (1.8)                                             | (1.9)                        | (1.9)                | (2.0)                  | (2.1)               |
| Target Debt Weight        | 35%   | Less: ΔWorking Cap                                |                              |                      |                        |                     |
|                           |       | (0.3)                                             | (0.3)                        | (0.3)                | (0.4)                  | (0.4)               |
|                           |       | Unlevered FCF                                     |                              |                      |                        |                     |
|                           |       | 4.06                                              | 4.82                         | 5.52                 | 6.08                   | 6.77                |
|                           |       | Discount Factor                                   |                              |                      |                        |                     |
|                           |       | 0.918                                             | 0.843                        | 0.774                | 0.711                  | 0.653               |
|                           |       | PV of FCF                                         |                              |                      |                        |                     |
|                           |       | 3.73                                              | 4.06                         | 4.27                 | 4.32                   | 4.42                |
| WACC (Base Case)          |       | \$20.8B                                           | \$62.4B                      | \$40.7B              | \$61.5B                | \$55–74B            |
|                           |       | Sum of PV (FCFs)                                  | Terminal Value (2.5% growth) | PV of Terminal Value | Enterprise Value (DCF) | ± Sensitivity Range |

# DCF Model: Sensitivity Analysis & Interpretation

How WACC and terminal growth rate assumptions drive the implied enterprise value range

| EV Sensitivity: WACC × Terminal Growth Rate (\$B) |        |        |        |        |        |
|---------------------------------------------------|--------|--------|--------|--------|--------|
| WACC \ TG                                         | 1.5%   | 2.0%   | 2.5%   | 3.0%   | 3.5%   |
| 7.9%                                              | \$70.2 | \$74.8 | \$80.1 | \$86.2 | \$93.4 |
| 8.4%                                              | \$64.8 | \$68.7 | \$73.3 | \$78.6 | \$84.8 |
| 8.9% (base)                                       | \$60.1 | \$63.5 | \$67.4 | \$72.0 | \$77.4 |
| 9.4%                                              | \$55.9 | \$58.8 | \$62.2 | \$66.2 | \$70.8 |
| 9.9%                                              | \$52.1 | \$54.7 | \$57.7 | \$61.2 | \$65.2 |

Base case (\$67.4B)

Netflix comps range (\$76–95B)

Optimistic (low WACC / high TG)

How to Interpret These Results

Base case EV: ~\$67B

\$67.4B at 8.9% WACC / 3.0% TG — below comps, reflecting execution risk

Bull case EV: ~\$77–86B

\$77–86B if streaming accelerates + costs ease — converges with comps

Netflix bid context

Netflix bid requires bull-case DCF + synergy uplift — defensible given HBO economics

Paramount bid not supported

Paramount’s \$108B exceeds even the most optimistic scenario (\$93.4B)

Key sensitivity

1% WACC shift = ~\$8–10B EV impact — assumptions carry substantial model risk

# Comparable Company Analysis

Peer trading multiples applied to WBD — implied EV range and positioning vs. bid prices

| Company                         | EV (\$B) | Rev (\$B) | EBITDA (\$B) | EV/EBITDA | EV/Rev | Notes                                                                                               |
|---------------------------------|----------|-----------|--------------|-----------|--------|-----------------------------------------------------------------------------------------------------|
| Walt Disney Co.                 | 159.4    | 88.9      | 18.2         | 8.8×      | 1.79×  | Best comp — studio + streaming + linear TV; premium for ESPN brand                                  |
| Comcast (NBCUniversal)          | 143.6    | 121.4     | 24.1         | 6.0×      | 1.18×  | Cable-heavy; depressed multiple from cord-cutting; lower bound ref.                                 |
| Paramount Global (pre-Skydance) | 18.2     | 28.7      | 2.4          | 7.6×      | 0.63×  | Most direct comp — pure-play studio + streaming; smaller scale                                      |
| Lionsgate / Starz               | 5.8      | 4.2       | 0.7          | 8.3×      | 1.38×  | Smaller studio; premium multiple for IP quality despite scale discount                              |
| AMC Networks                    | 3.1      | 2.8       | 0.6          | 5.2×      | 1.11×  | Pure cable — lowest multiple; cord-cutting headwinds fully discounted                               |
| Warner Music Group              | 21.4     | 6.4       | 1.4          | 15.3×     | 3.34×  | IP-heavy; premium for recurring royalty streams — excluded from median                              |
| Mean (ex-WMG)                   | —        | —         | —            | 7.2×      | —      | Selected range: 8–10× — WBD trades at premium to Comcast/AMC; discount to Disney for execution risk |

|                 |                   |                   |                     |             |               |
|-----------------|-------------------|-------------------|---------------------|-------------|---------------|
| Implied WBD EV: | \$76B             | \$85.5B           | \$95B               | \$82.7B ✓   | \$108B ✗      |
|                 | Low (8× × \$9.5B) | Mid (9× × \$9.5B) | High (10× × \$9.5B) | Netflix Bid | Paramount Bid |

# Precedent Transactions Analysis

Historical media M&A deal multiples — control premium context and adjustments for current conditions

| Transaction                 | Year | Deal Value | EV/EBITDA | EV/Rev | Structure     | Relevance to WBD                                                              |
|-----------------------------|------|------------|-----------|--------|---------------|-------------------------------------------------------------------------------|
| Disney / 21st Century Fox   | 2019 | \$71.3B    | 12.8×     | 3.0×   | Stock + Cash  | Most relevant: major studio + cable IP; reflects peak pre-streaming valuation |
| AT&T / Time Warner          | 2018 | \$85.4B    | 11.4×     | 2.1×   | Cash          | Formed WBD predecessor; multiples inflated by strategic scarcity premium      |
| Comcast / NBCUniversal      | 2011 | \$30.0B    | 8.5×      | 1.9×   | Cash + Equity | Studio + cable network deal; low-rate environment boosted multiples           |
| Discovery / WarnerMedia     | 2022 | \$43.0B    | 7.1×      | 1.0×   | All-Stock     | Creates WBD itself; depressed multiple reflects post-COVID media stress       |
| Skydance / Paramount Global | 2025 | \$8.4B     | 6.8×      | 0.3×   | Cash + Equity | Most recent comp; reflects cord-cutting discount on legacy cable assets       |
| Mean (all transactions)     |      |            | 9.3×      | 1.7×   |               | Selected range: 7.5–10× — adjusted down for cord-cutting & higher rates       |

## Interpretation & Current-Market Adjustments:

Historical avg. 9–12× but low-rate, stable-cable environment. Applying 150–200bps adjustment yields 7.5–10× today. Netflix bid is within range. Paramount’s is not.

## Viability Assessment: Netflix vs. Paramount Bids for WBD

### ✓ NETFLIX — VIABLE

- › Bid at ~10–15% premium to comps high end — aggressive but defensible
- › Excludes cable — inherited debt meaningfully reduced
- › \$7.5B+ FCF supports debt service at elevated leverage
- › Equity at premium multiple — minimal dilution for \$25–30B raised
- › Synergy case is credible — HBO library reduces content cost/subscriber
- › Recommend approval — pending regulatory clearance + disciplined integration

### ✗ PARAMOUNT — HIGH RISK

- › 38% premium over Netflix offer — exceeds intrinsic value under all methods
- › Pro-forma combined debt (\$40B WBD + \$14B PARA) would likely exceed 10× EBITDA — below investment-grade territory
- › Heavy reliance on sovereign wealth funds introduces geopolitical risk and regulatory complexity
- › Ellison guarantee is illiquid — wealth is Oracle equity, not cash
- › No structural hedge against cable decline; absorbs all WBD liabilities
- › Recommend against — risk to Paramount shareholders is unacceptably high